

Income Inequality in New York City

Exploring Geographic Patterns, Racial Disparities, Household Composition, and Structural Drivers across all five boroughs.

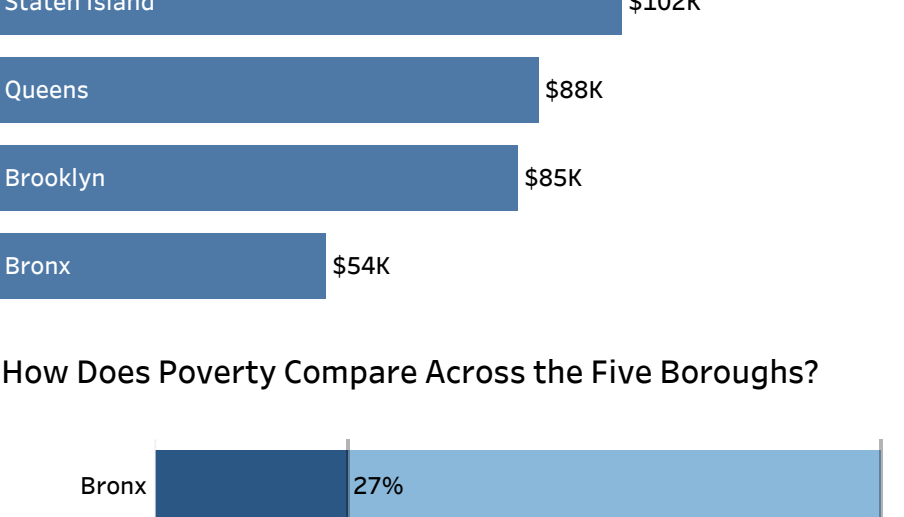
As New Yorkers, it's important to see a clear picture of the economic life across the five boroughs. Using 2023 American Community Survey (ACS) 5-Year Estimates at the Census Tract level, this analysis explores the contrasts that shape income inequality in New York City. It highlights key patterns in income, poverty, and demographics (Sections 1–3) and examines deeper structural factors such as education, gender pay gaps, unemployment, and disability (Section 4). Together, these insights reveal the full spectrum of economic realities across the city—from areas of affluence to those facing greater financial strain—and the factors that shape these differences. The guiding question: “Where and why is economic disparity most pronounced in NYC, and how do these contrasts define the city’s economic landscape?”

Section 1: Spatial Analysis of Income Inequality

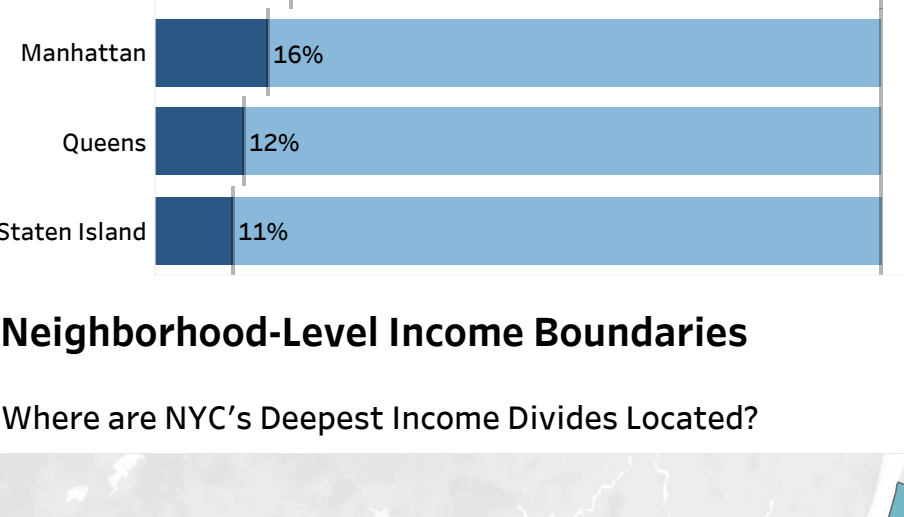
This analysis highlights stark geographic contrasts by examining Median Household Income, Rent Burden, and Poverty Levels across all five boroughs and their neighborhoods.

Borough-Level Economic Contrast

Which Boroughs Drive NYC’s Income Disparity?
Median Household Income varies from \$54K to \$118K in NYC Boroughs

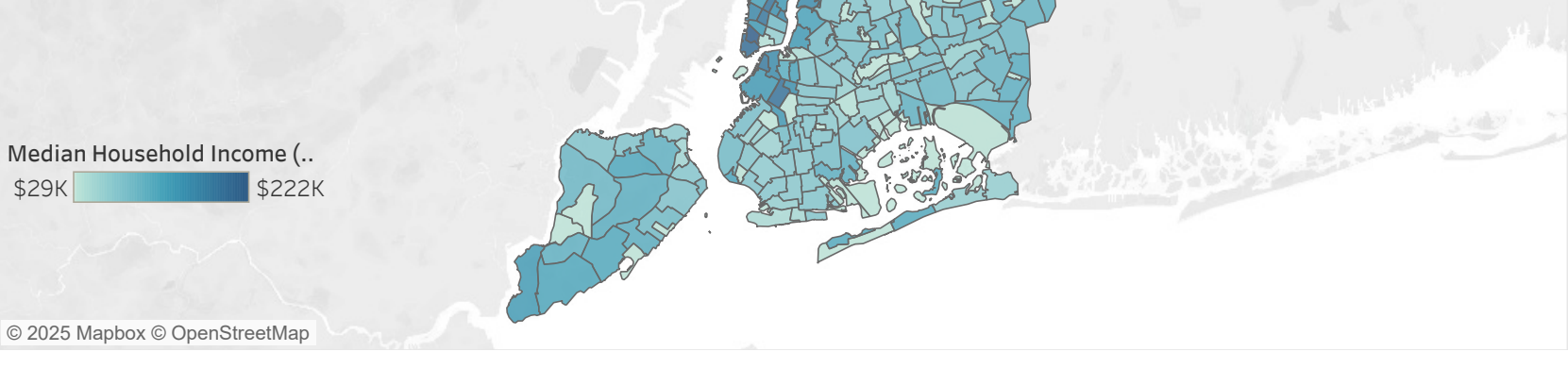


How Does Poverty Compare Across the Five Boroughs?



Neighborhood-Level Income Boundaries

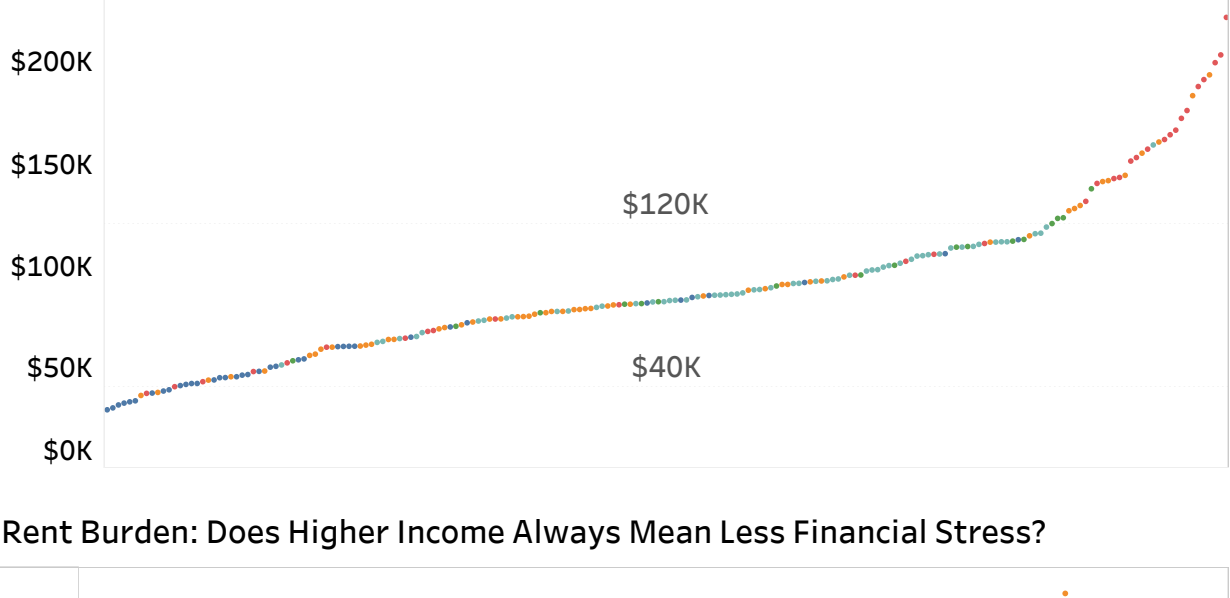
Where are NYC’s Deepest Income Divides Located?



The sharpest income divides appear in Manhattan and western Brooklyn. In Manhattan, high incomes stretch from the Financial District through Midtown to the Upper East and West Sides, dropping sharply nearby in East Harlem and the Lower East Side. Western Brooklyn—from Brooklyn Heights through Park Slope and gentrified areas in Williamsburg—shows similar wealth, while incomes fall in central and eastern areas like Bedford-Stuyvesant and East New York. Queens is more mixed, with higher incomes in the east. The Bronx remains lowest overall, and Staten Island, is mostly made up of higher income sub-urban neighborhoods.

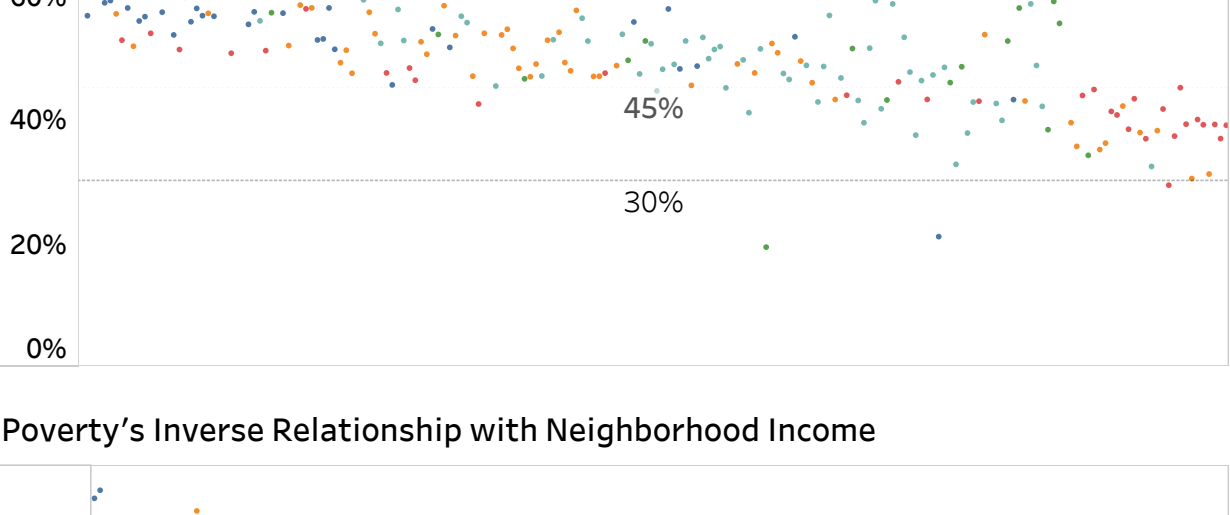
Neighborhood Trends: Exploring Income’s Correlation

Income Distribution: A View from \$29K to \$222K



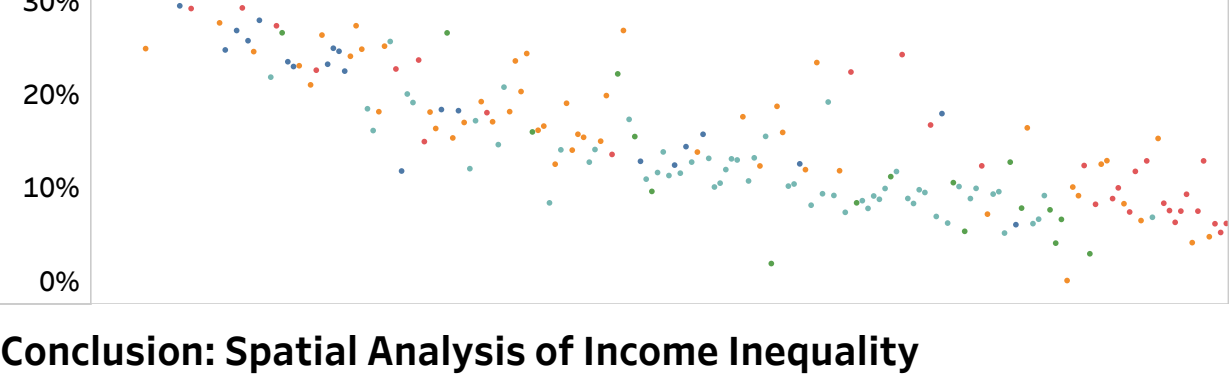
Median household income across NYC neighborhoods spans a broad range—from \$29K to \$222K—capturing the full spectrum of income levels. Most neighborhoods (156) cluster in the moderate-income range of \$40K to \$120K, while fewer neighborhoods fall in the low-income bracket (12 below \$40K) or the high-income bracket (32 above \$120K), highlighting a concentration of economic activity in the middle tiers.

Rent Burden: Does Higher Income Always Mean Less Financial Stress?



As neighborhood income rises, rent burden generally declines—while low-income areas see rates as high as 65%, high-income neighborhoods typically fall closer to 30–45%, with some exceptions. This scatter plot clearly shows a strong inverse relationship. This suggests that higher neighborhood earnings generally outpace rising rental costs

Poverty’s Inverse Relationship with Neighborhood Income



The sharp inverse relationship between the median household income and poverty level in NYC neighborhoods underscores how deeply income inequality shapes the distribution of poverty across New York City—lower-income neighborhoods are affected disproportionately.

Conclusion: Spatial Analysis of Income Inequality

The analysis establishes that **income inequality is geographically polarized and highly contrasting**. The economic divide is starkly visible on the map, with high affluence contrasting sharply with the sustained low incomes of The Bronx and Eastern Brooklyn. The borough-level data confirms this, isolating **The Bronx** as the most vulnerable borough, facing the lowest income while carrying the highest rate of rent burden. Crucially, neighborhood-level trends reveal a powerful, consistent inverse correlation: as neighborhood income rises, both the poverty rate and the financial stress of rent burden decline, underscoring that housing pressure is disproportionately focused on the city’s lowest-income geographic areas.

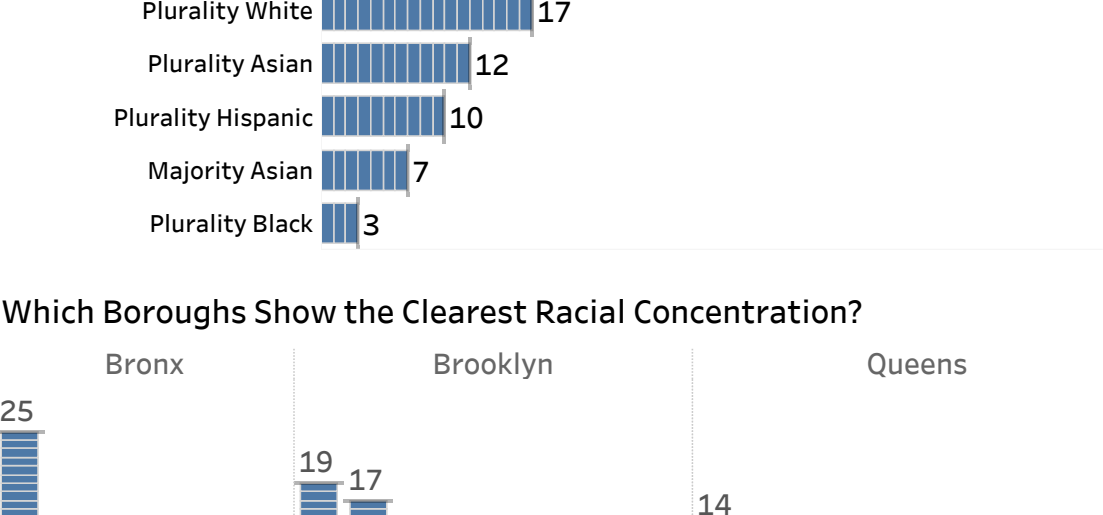
The Racial Income Divide

Examining how neighborhood racial concentration creates distinct patterns of economic disparity in income, poverty, and housing cost pressures.

In this section, neighborhoods are classified based on their single most prevalent racial or ethnic group, defined as either a Majority (>50% of the neighborhood population) or a Plurality (40–50% of the neighborhood population).

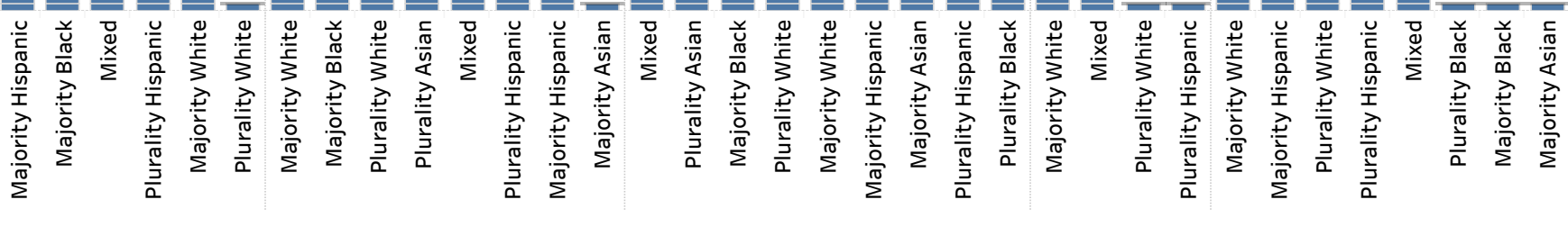
Racial Segregation and Concentration by Borough

How Racially Segregated are NYC’s Neighborhoods?



Although NYC is known for its racial diversity, only **28 neighborhoods are classified as racially mixed**. This makes the mixed group the fourth-largest, significantly trailing neighborhoods with a Majority White (56), Majority Hispanic (36), and Majority Black (31) population. This pattern suggests that **diversity at the city level often masks racial separation at the neighborhood level**.

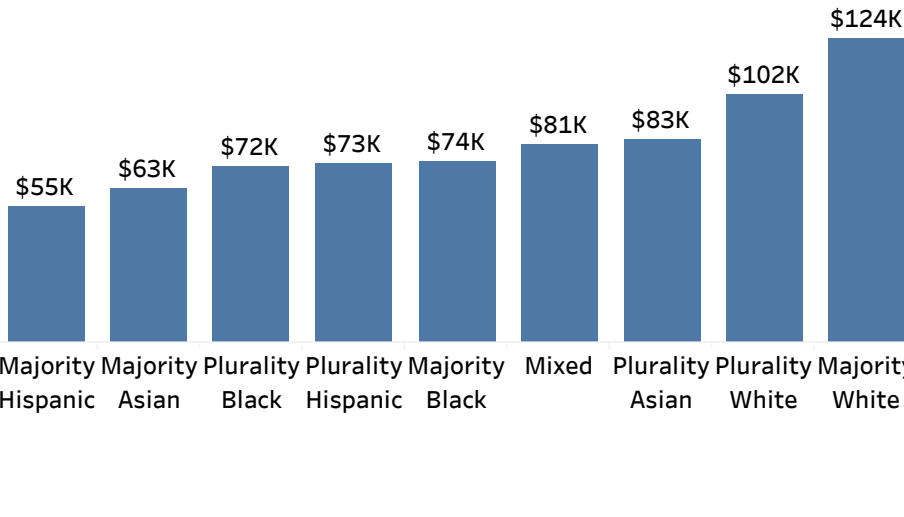
Which Boroughs Show the Clearest Racial Concentration?



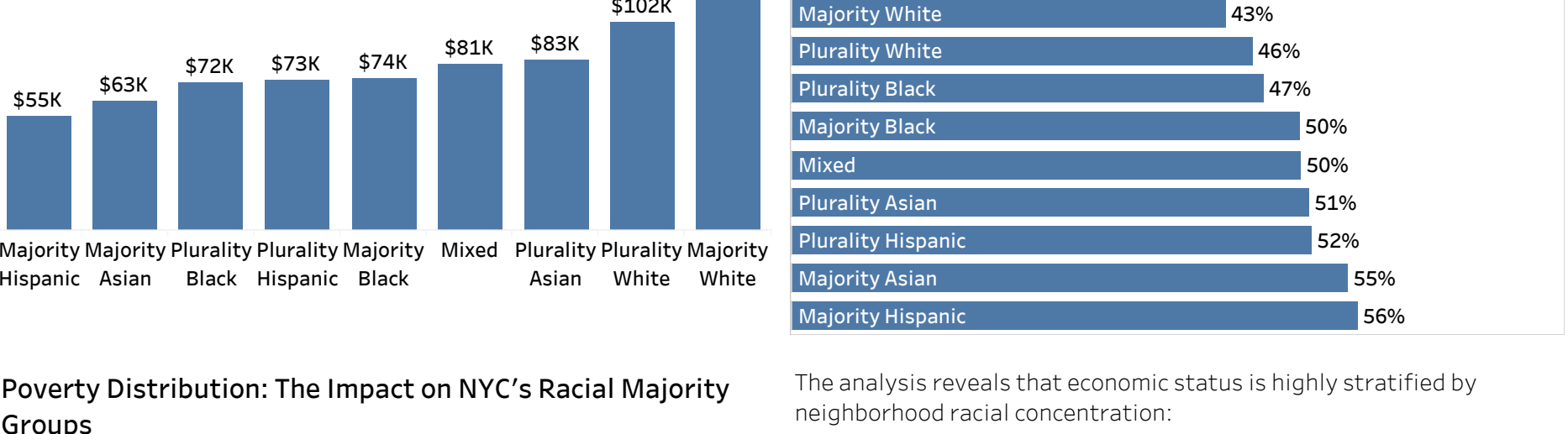
In the Bronx, majority Hispanic neighborhoods dominate, outweighing all other groups. In Brooklyn, majority Black and majority White neighborhoods make up the largest shares. Staten Island is predominantly majority White, while Queens features mostly mixed neighborhoods alongside substantial representation from other groups.

Economic Outcomes: The Financial Impact of Racial Concentration

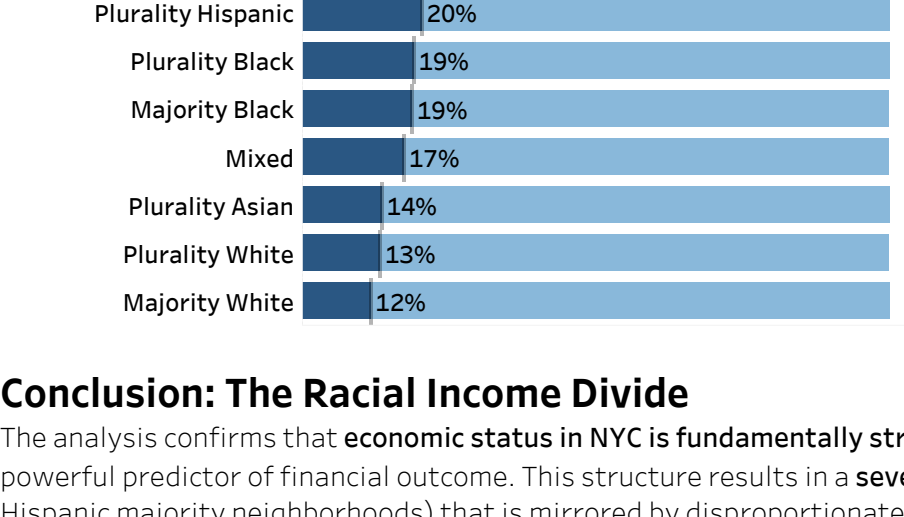
How Wide is the Racial Income Gap in NYC Neighborhoods?



Who Bears the Brunt of NYC’s Housing Costs?
The percentage of renter-occupied households that pay over 30% of their annual income toward gross rent.



Poverty Distribution: The Impact on NYC’s Racial Majority Groups



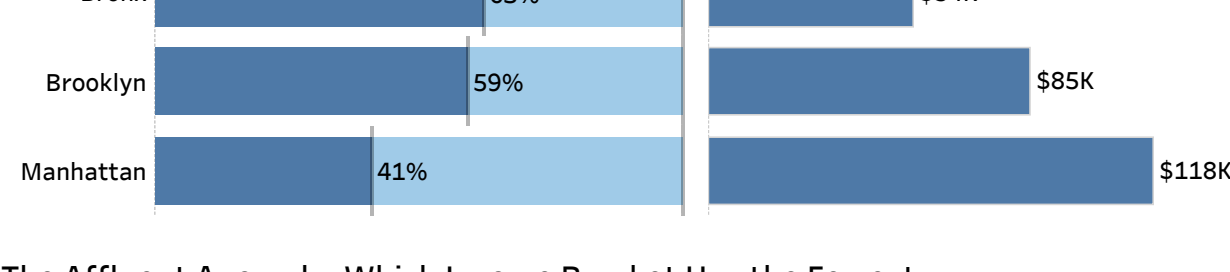
Conclusion: The Racial Income Divide

The analysis confirms that **economic status in NYC is fundamentally stratified by racial concentration**, where neighborhood demographics are a powerful predictor of financial outcome. This structure results in a **severe income gap** (White majority neighborhoods earning nearly double Hispanic majority neighborhoods) that is mirrored by disproportionately high poverty rates and the highest rates of financial stress from rent burden among low-income minority groups.

Section 3: Household Composition & Income

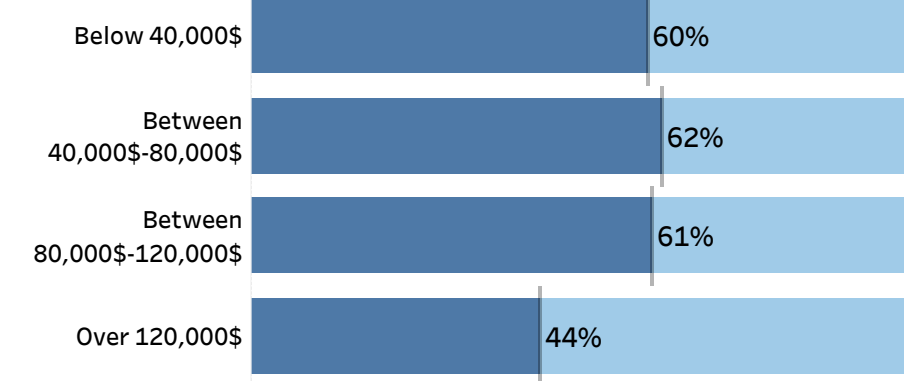
This section analyzes the correlation between median household income and the percentage of family households at both the borough level and across neighborhood income groups.

Do Traditional Households Mean Higher Income? The Borough Breakdown.



Manhattan and Staten Island have the highest median household incomes, but their household structures differ sharply. On Staten Island, 73% of households are families, compared with just 41% in Manhattan—reflecting a clear suburban-urban contrast. The other three boroughs fall within a narrower range of 59–67%.

The Affluent Anomaly: Which Income Bracket Has the Fewest Families?



Family household concentration is consistent across low- and moderate-income areas, but drops sharply in the highest bracket. While neighborhoods earning \$40,000–\$120,000 show family household rates around 60–62%, this share drops significantly to **44%** in areas above \$120,000. This stark contrast highlights a higher presence of non-family and diverse household types in the city’s most affluent areas.

Conclusion: Household Composition and Income

The analysis reveals that the relationship between concentration of family households and neighborhood wealth household income. The contrast between **Staten Island (high income, high family share—reflecting a suburban context)** and **Manhattan (high income, low family share—reflecting an urban context)** is clear. The pattern across the cities neighborhoods is defined by the **Affluent Anomaly**: the share of family households drops significantly to **44%** in the **Over \$120,000** household income bracket, highlighting that high-income areas are defined by diverse, non-family household structures.

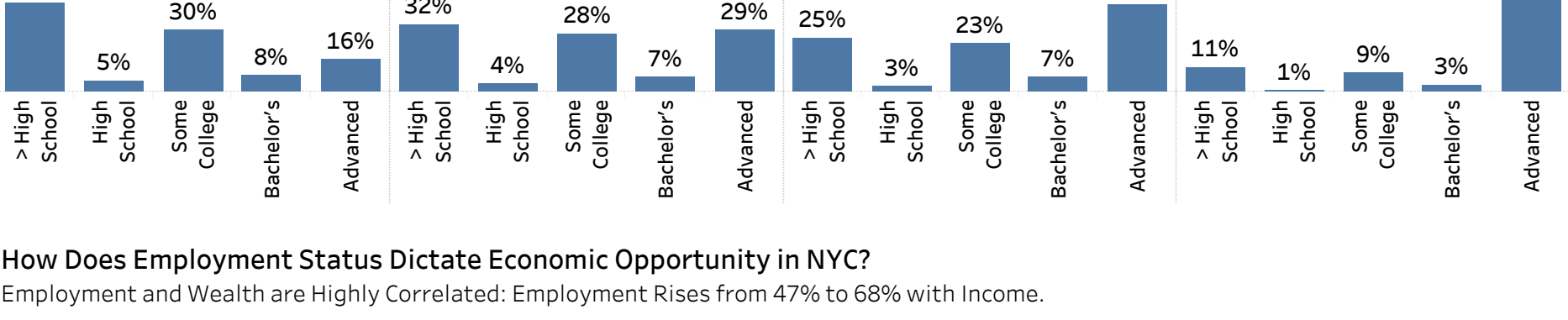
Setion 4: Structural Drivers of Inequality (Adjustable View Level)

This section analyzes the correlation between neighborhood income levels and four key socioeconomic factors: Educational Attainment, the Gender Pay Gap, Employment Status, and Disability.

Level Selector Parameter
Neighborhood Income Group Level

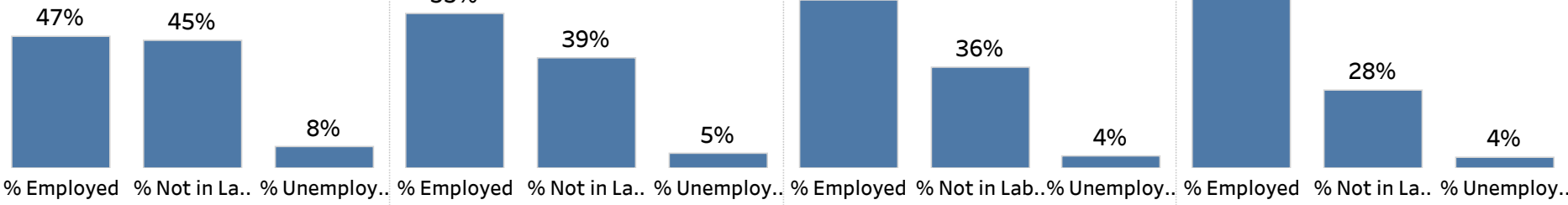
Does Education Pave the Path to Prosperity in NYC?

Education is a Strong Predictor of Income: 75% of High-Income Residents Hold Advanced Degrees.



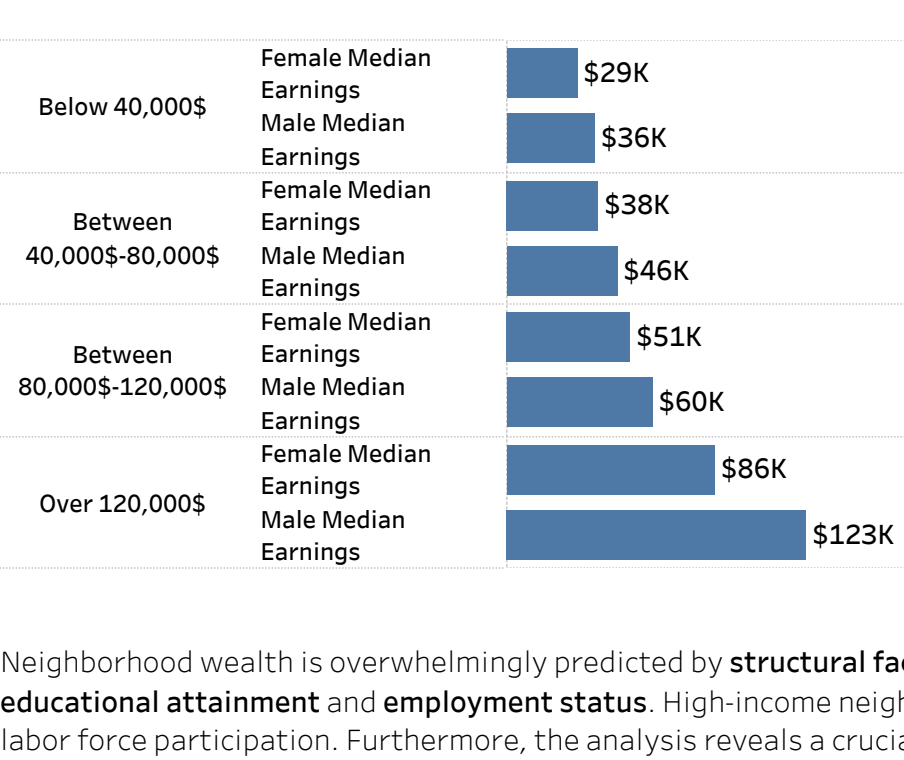
How Does Employment Status Dictate Economic Opportunity in NYC?

Employment and Wealth are Highly Correlated: Employment Rises from 47% to 68% with Income.

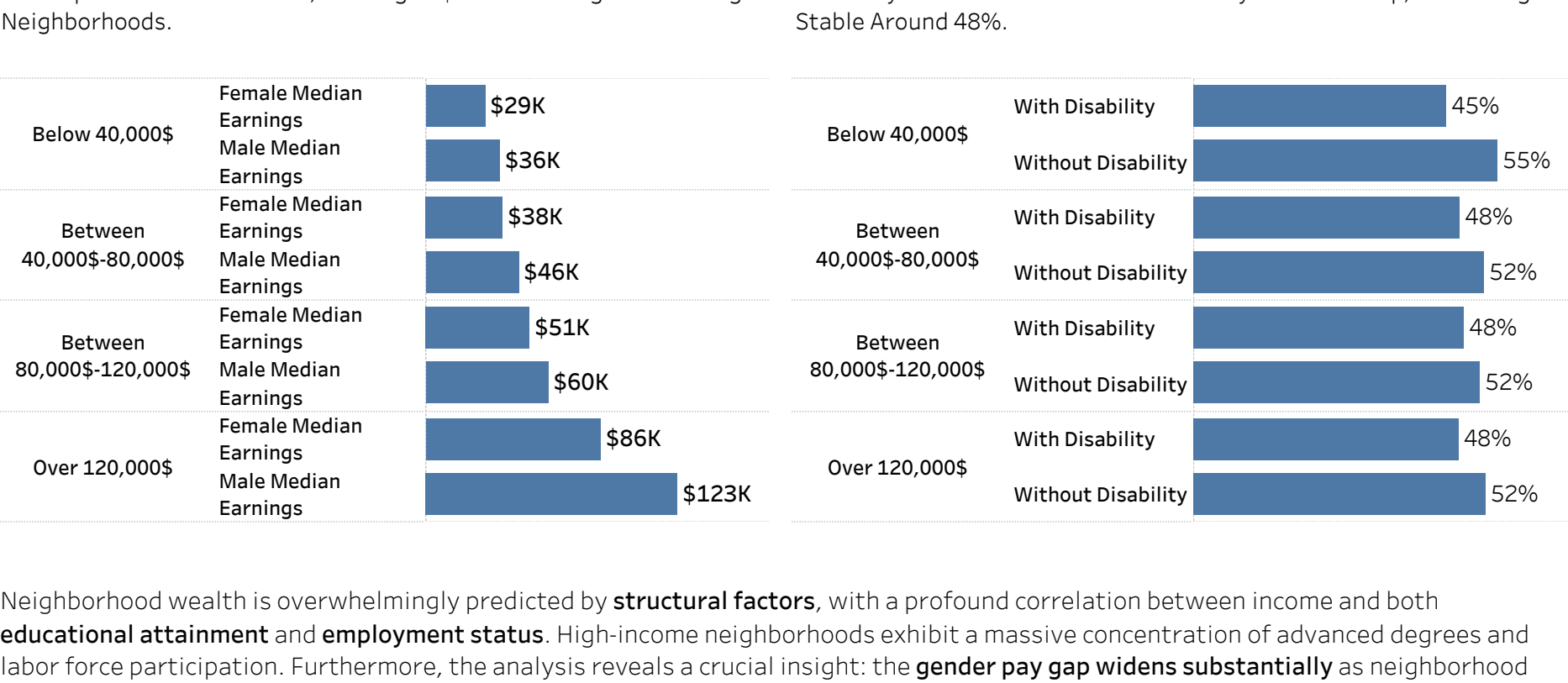


How Significant is the Gender Pay Gap in NYC?

The Gap Widens with Income, Peaking at \$37K in the Highest-Earning Neighborhoods.



How Does Disability Status Correlate with Income?
Disability Status Shows Little Variation by Income Group, Remaining Stable Around 48%.



Neighborhood wealth is overwhelmingly predicted by **structural factors**, with a profound correlation between income and both **educational attainment** and **employment status**. High-income neighborhoods exhibit a massive concentration of advanced degrees and labor force participation. Furthermore, the analysis reveals a crucial insight: the **gender pay gap widens substantially** as neighborhood income levels increase. Disability status, however, shows no significant variation across income groups.

Final Conclusion

The analysis confirms that economic disparity in New York City is **structurally embedded and highly contrasting**. The city is defined by a **geographic polarization**, with **The Bronx** isolated as the most vulnerable borough due to the lowest income and highest rent burden. This financial contrast is fundamentally driven by **structural factors**: extreme **racial concentration** predicts economic outcome, resulting in a severe income gap and disproportionate poverty. Furthermore, the divide is amplified by **educational attainment** and **employment status**, while the **Gender Pay Gap widens significantly** in affluent areas, revealing that the city’s economic landscape is governed by powerful, reinforcing systemic patterns.

Data Sources:

ACS 2018–2022 5-Year Estimates (U.S. Census Bureau): Provides detailed demographic, social, economic, and housing data at various geographic levels (e.g., Census Tracts) - [American Community Survey 5-Year Data \(2009-2023\)](#)

2020 Neighborhood Tabulation Areas (NTAs) shapefile — NYC Open Data: Provides the official boundaries for NYC NTAs, which are used for neighborhood-level spatial analysis - [2020 Neighborhood Tabulation Areas \(NTAs\)](#) | NYC Open Data

NYC Department of City Planning — ACS (with NTA geographies): Provides a crossfile used to map ACS 5-year summary files directly to Neighborhood Tabulation Areas - <https://www.nyc.gov/content/planning/pages/resources/datasets/american-community-survey> .